

BIG GAINS

RBI-licensed non-banking financial companies that offer peer-to-peer lending

P2P PLAYER	Annual returns (%) *	Earnings credited	Minimum investment (₹) #	Premature withdrawal	NPA (%)	Borrowers	Disbursement (₹ crore)
LENDEnCLUB-FMPP	up to 12	As per borrower EMI	10,000	Not allowed	2.3	Must be earning an income to service the loan EMI	12,476
LIQUILOANS	up to 10.5	NA	10,000	Secondary market available	0.49	Salaried and self-employed with monthly income of ₹18,000. CIBIL: NTC and min. score 650	2,900
INDIA P2P-GROWTH & IN-COME OPTIONS	up to 16	Lock-in of 12 months after which you will be repaid monthly	5,000	Not allowed	0.01	Women borrowers	NA
FAIRCENT-DOUBLE	up to 12	End of term/monthly option	25,000	Not allowed	NA	Minimum gross income of ₹3 lakh per annum	43.55

*Actual amount may vary based on investment cycles and allocation by P2P NBFC partners; #You can invest a maximum of ₹50 lakh. For investments above ₹10 lakh, a net-worth certificate is required; NTC: New to credit; NA: Not available; **Source** Company websites

funds from a bank.

Though not a new concept, P2P lending became popular globally after the 2008 financial crash, and by 2014 it had found currency in India, prompting banking regulator RBI to introduce regulations in 2017. And going by the numbers, Garg isn't an outlier. "Till date, at least 3-3.5 million investors have opened investment accounts across P2P lending platforms. While this may seem small compared with mutual funds, it is significant. P2P lending platforms in India have invested approximately ₹20,000 crore in loans, with a combined outstanding AUM (assets under management) of around ₹4,000 crore," says Bhavin Patel, Co-founder and CEO of LenDenClub, a P2P platform that was founded in 2015.

That momentum is expected to accelerate with growth projected to

hit double digits. According to a report by IndustryARC, a market research firm, the Indian P2P lending market is expected to swell to \$10.5 billion by 2026, growing at 21.6 per cent between 2021 and 2026.

These numbers seem enticing, but it's crucial for investors to be aware of some key factors before jumping in enthusiastically, to avoid unpleasant surprises down the road.

CONNECTING THE TWO

To participate, both borrowers and lenders must register by filling out an online form and submitting know-your-customer (KYC) documents, along with a bank account statement. Upon registration, the lender transfers the desired amount to an escrow account, from which funds are then directly transferred to the bank accounts of borrowers chosen by the lender.

On certain platforms, an investor has the opportunity to access loan information, such as the borrower's profile, credit history, and purpose for seeking the loan. However, on other platforms, the available details may be more restricted.

While signing up you must remember, though, that each platform might have specific requirements. For instance, MobiKwik has a minimum investment amount of ₹1,000, whereas at Faircent it is ₹25,000. There is, however, a cap on the maximum amount you can invest through these apps. According to RBI guidelines, you can invest only up to ₹10 lakh through these apps; and for amounts exceeding that, a net-worth certificate must be furnished, after which you can invest up to ₹50 lakh.

At present, around 26 companies such as LenDenClub, Faircent and LiquiLoans IndiaP2P, are reg-